# City Auditor Fiscal Year 27-28 Budget Reductions

## Budget and Finance Committee Meeting

April 9th, 2026




CITY OF BERKELEY

BERKELEY CITY AUDITOR

# City Auditor FY 27-28 Budget Reductions

## Overview

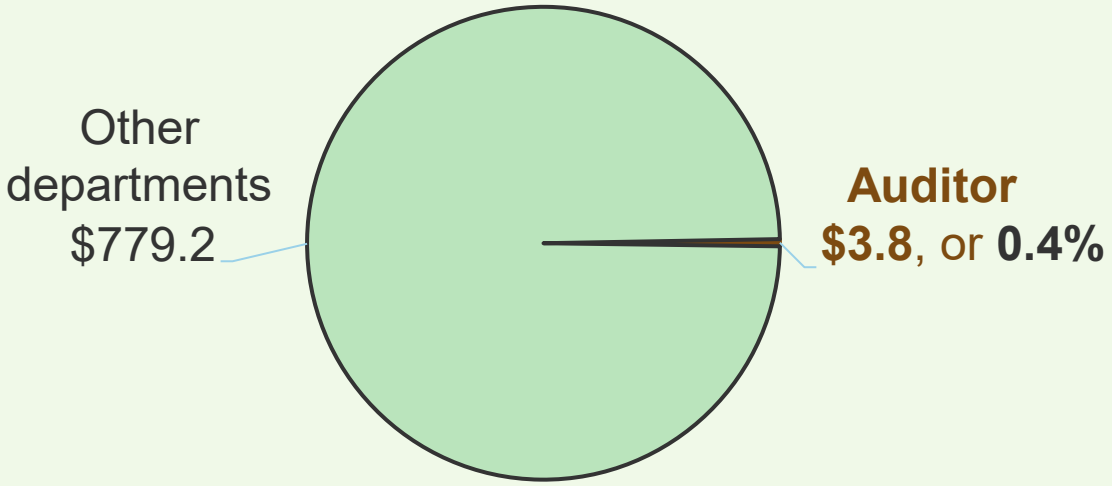
- Overview of the Auditor's Budget
- The Value of the Auditor's Office
- Summary of Reductions
- Reductions: Non-Personnel
- Reductions: Personnel
- Salary Savings

Berkeley City Auditor

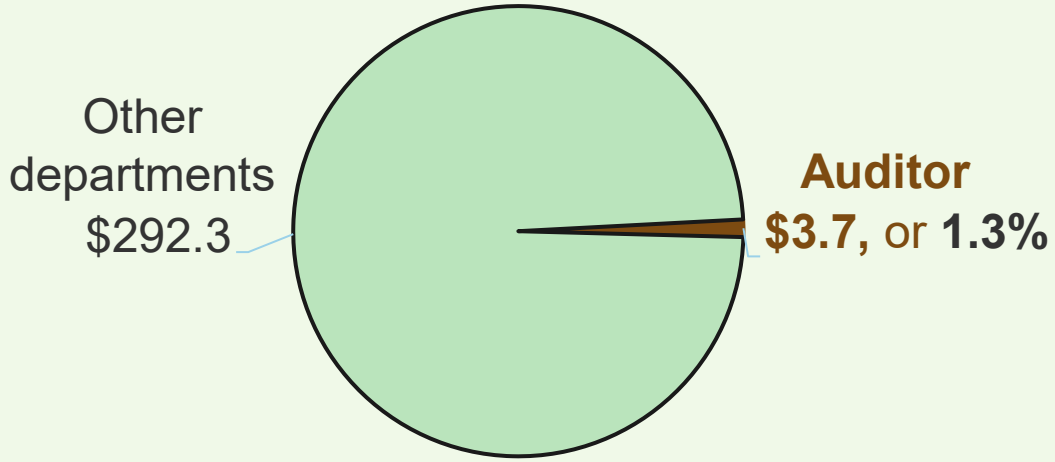
# Overview of the Auditor's Budget

The Auditor's Office makes up a small percentage of the City's budget.

**Total Expenditures in Millions, Fiscal Year 2026**




**General Fund Expenditures in Millions, Fiscal Year 2026**




Source: Berkeley FY 25-26 Adopted Budget

# Overview of the Auditor's Budget: City Charter

The duties of the Auditor are mandated by the Berkeley City Charter.

Three divisions fulfill these Charter-mandated duties:

- Performance Audit
- Whistleblower Program
- Payroll Audit




Berkeley City Auditor

# Overview of the Auditor's Budget

**City Auditor Budget in Millions, FY 26**




The Auditor's Office maintains **15.75 FTEs** among three divisions

Source: Berkeley FY 25-26 Adopted Budget

# The Value of the Auditor's Office

## Performance Audit Division

Performance audits can lead to:

- New revenue
- Cost recovery
- Increased efficiency and effectiveness

**As a result** of audit work, management implemented **36 audit recommendations** in the past two years.

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# The Value of the Auditor's Office

## Whistleblower Program Division



Investigates allegations of fraud, waste and abuse of city resources.



Issues public reports for substantiated findings or issues that warrant transparency and broader awareness.



Strengthens internal controls and promotes accountable use of public funds.

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# The Value of the Auditor's Office

## Payroll Audit Division



Helps the City ensure payroll compliance and avoids the risk of financial errors and legal exposure.



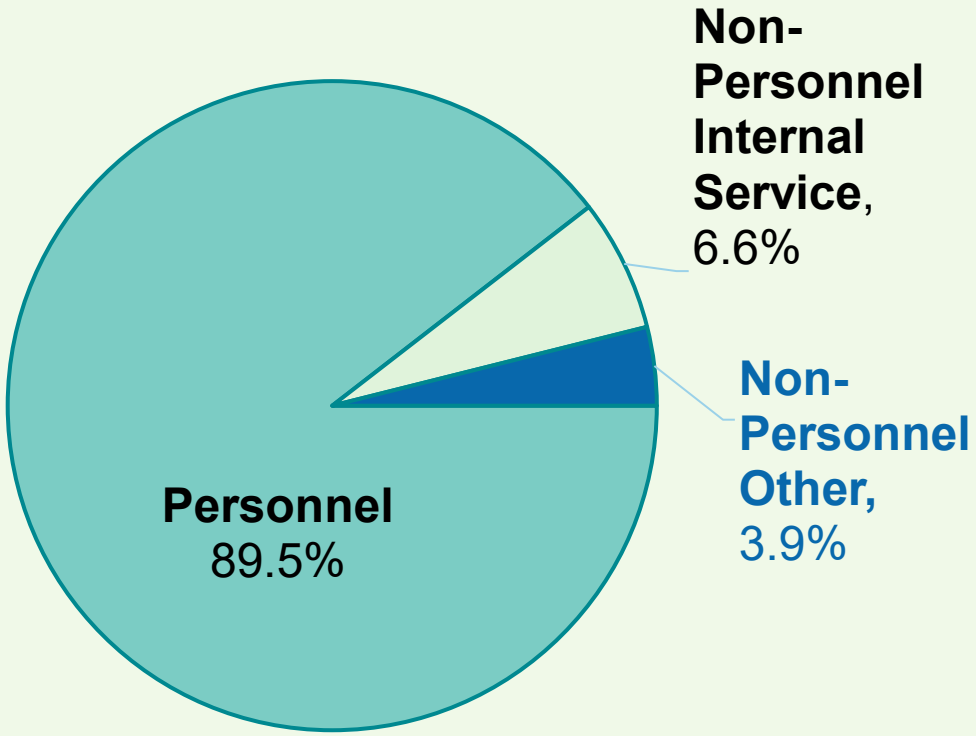
High-performing as validated by external auditors.



Prevents costly errors, penalties and litigation.

# Summary of Reductions

**Auditor Baseline Budget, FY 2027**




Source: ERMA

FY 2027: **7.3%** reduction

FY 2028: **9%** reduction

# Reductions: Non-Personnel

Non-Personnel (Other) budget reduced by **38%** in fiscal year 2027 and **32%** in fiscal year 2028.

Impacts:

- Reduced training budget
- Reduced expenditures from Employee Access project

# Reductions: Personnel

Personnel budget reduced by **7%** in fiscal year 2027 and **9%** in fiscal year 2028.

Strategies:

- Shifting fund sources for personnel
- Accounting for underfilled positions and staff members on leave

 The Auditor's Office has no current vacancies.

# Salary Savings



The Auditor's Office has salary savings from prior years.



Additional one-time allocations will achieve a **10%** overall budget reduction for fiscal years 2027 and 2028.

# Questions?



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